

Federal Polytechnic, Mubi
School of Business and Management Technology
Department of Business Administration and Management

COURSE TITLE/CODE: Public Finance (ACC 316)
CLASS: HND I BAM

Meaning of Public Finance

Finance is a discipline concerned with the acquisition and disbursement of funds in an optimum way for effective operations and attainment of desired objectives of an organization. Finance is a function in business (private/public) that acquires funds for the organisation and manages those funds within the organisation. These activities include preparing of budgets; doing cash flow analysis; and planning for the expenditure of funds assets.

Public finance is the field of economics that deals with budgeting the revenues and expenditures of the public, taxes, public debt and public financial administration. Public finance, therefore, deals with methods used in finance government expenditure; the characters of such expenditures and the keeping of adequate record for money raised and spent. Essentially, Public Finance deals with acquiring, spending and accounting for revenue and other receipts of the government with a view to ensuring efficiency of the state and the general well-being of the people. It is the study of the role of the government in the economy.

The principles of public finance were developed as far back as the period of the classical economists. Most of the early writers on the subject focused on different areas. Adam Smith focused on taxation. David Richard and J. S. Mill laid emphasis on revenue, expenditure and public debt. A. C. Pigou in his own contribution dealt with taxation principles which are based on the theory of 'economic welfare'. He stated that taxes are levied in such a way that the overall marginal sacrifice of taxation is equal to the overall marginal benefit of public expenditure.

Nature and Scope of Public Finance

Public Finance as Science: Science is the systematic study of any subject which studies relationship between facts. Public finance has been held as science which deals with the income and expenditure of the government's finance. It studies the relationship between facts relating to revenue and expenditure of the government.

Arguments in support of Public Finance as Science:

- It is systematic study of the facts and principles relating to government expenditure and revenue.
- Principles of Public finance are empirical.
- It is studied by the use of scientific methods.
- It is concerned with definite and limited field of human knowledge.

Public Finance as Art

Art is application of knowledge for achieving definite objectives. Fiscal Policy which is an important instrument of public finance makes use of the knowledge of government's revenue and expenditure to achieve the objectives of full employment, economic development and equality, Price stability etc. To achieve the goal of economic equality taxes are levied which are likely to be opposed. Therefore it is important to plan their timing and volume. The process of levying tax is therefore an art. Study of public finance is helpful in solving many practical problems. Public finance is therefore an art also. From the above discussion it can be concluded that public finance is both science and art. It is positive science as well as normative science. It is a positive science as by the study of public finance factual information about the problems of government's revenue and expenditure can be known. It also offers suggestions in this respect. It is also normative science as study of public finance presents norms or standards of the government's financial operation. It reveals what should be the quantum of taxes, kind of taxes and on what items less of public expenditure can be incurred.

The scope of public finance is cover four basic issues, namely (i) government expenditure, (ii) government revenue, (iii) public debt, and (iv) financial management.

(i) **Public Revenues:** Every government has to make a number of expenditures, both recurrent and capital. For this purpose it has to raise revenues with a view to finance the expenditures and the major share of public revenues is obtained through taxes. Again, government also raises revenue through non-tax sources like fees and penalties. Thus in the science of public finance, different types of taxes are studied, as well as, the principles of taxation, the burden of taxes, and the system of taxes.

(ii) **Public Expenditures:** The revenues which a government raises have to be spent on different items. Thus in public finance, the principles of making government

expenditures are studied, and the major items of government expenditures. Again, whether the expenditures are diverted to productive fields or non-productive fields, and the effects of public expenditures on the level of income distribution and level of output.

(iii) **Public Debt:** The government revenues are at times far less than the government expenditures, thus leading to deficit which could necessitates borrowing. The government has to make the traditional as well as the welfare expenditures. In some circumstances, the government expenditures may exceed government revenues, thus necessitating government to depend on public debt. In Public finance, therefore types of public debt that are available to the government are studied; the rate of interest against each source available; the type of bonds the government can issue; and how the government will repay the debt, among others.

(iv) **Financial Administration:** Financial management is studied in public finance. Financial management deals with how the government prepares budgets, how the budgets are executed, budgetary control process, prudence, transparency and accountability in budget execution and public sector financial management.

*budget
public
finance*

Functions of Public Finance

The scope of public finance is logically concerned with the operations of the public treasury. It deals with how the public treasury operates as well as the repercussions of the various policies, which the treasury might adopt. Public tax and expenditure measures, affects the economy in a number of ways and may be designed to serve many purposes. The policy objectives which are set forth may be categorized into four, namely:

- (i) **Allocation of resources:** The resource allocation aspect in public finance deals with the role of government in the allocation of resources as a result of market failure. It is a known fact that externalities arise in the economy. Externalities arise because of action by one economic unit which causes a gain or loss in either consumption or production by other non-involved economic units. Clearly, the initiator of the action will not pay the external costs or receive the external benefits unless "there is some form of coercive body" (such as a Government) to allocate either the costs or the benefits. Public Finance is concerned with how Government allocates costs or benefits when externalities arise.
- (ii) **Adjustment in the distribution of income and wealth:** The income distribution aspect of public Finance is concerned with how income is distributed in the economy. Factors of

production such as land, labour, capital and entrepreneurship are priced in the market place depending on competitive circumstance and the value of the marginal product. Hence, an individual's income depends on demand and supply of the factors he has available, plus in some cases, inherited wealth. The resulting income distribution based purely on market pricing may or may not be in line with society's desires. In this regard, society must determine somehow, the "just" state of income distribution. Some economists have suggested that in order for justice to prevail in the society, income distribution in the economy should be such that a person should receive the fruits derived from his endowments, others argued that income distribution should be such that total happiness should be maximized. Yet others argued that the aim of income distribution should be egalitarianism, while still others feel that "*justice*" would be obtained, when *the income of the least well off individual in the society is maximized*. Public Finance in this regard, is concern with translating these "rules of justice" into a set of policies to distribute income.

(iii) **Stabilization of prices and employment:** The stabilization aspect in public finance is concerned with how to achieve desirable levels of price stability as well as desirable levels of employment. Without government involvement through fiscal and monetary policies, a typical capitalist economy tends to be subjected to substantial fluctuations. Thus, the economy may be in equilibrium at a level of employment far below what the government desires. When this happens, Government may use fiscal and monetary policies to adjust the economy to the desired levels. Public Finance is concerned with how Government does this.

(iv) **Attaining balance of payment equilibrium:** Balance of payment is the relationship between visible and invisible import and export of a country over a considerable period of time usually one year. However, when export (which is considered as a + because of the injection of foreign exchange into the economy) is greater than import (which is considered as a - because of letting some part of the economy to go as leakage due to deflation in foreign reserve) balance of a payment is said to be unfavorable. This can be corrected through public finance by embarking on activities which can stimulate export and discourage import to reverse the trend

IMPORTANCE OF PUBLIC FINANCE

Public finance has importance for both developing and developed economies. It has a very important role in achieving objectives like full employment and price stability. Some of the importance of public finance are as follows -

a. Helps in Removing Inequalities in Terms of Wealth and Income

In underdeveloped economies, there is a very serious problem regarding inequalities in the distribution of income and wealth. The rich are getting more and more while the poor are not getting enough and are thereby becoming poorer and poorer. So to promote equal distribution government need to invest in the development activities for the poor people

b. Helps in Controlling Inflation & Deflation

Public finance is a very effective tool used by the government to control inflation and deflation like situations. In order to control inflation, the government increases the tax rate and capital expenditure. While during deflation government decreases the tax rate bringing down the prices thereby increasing the demand.

C. Helps in Attaining Economic Stability

Public finance is also used as a tool to stabilize the economy by the government. When there is more prosperity in the economy and the people are earning more and more, the government increase the tax rate and during deflation government reduces the tax rate thereby increasing the demand.

d. Helps in Developing Well Structure & Infrastructure

Public finance helps the government in raising efficient funds for promoting the various infrastructural facilities in the economy like road, railways, medical and educational facilities, etc.

e. Helps in Increasing Export

It helps in promoting the export from the country and thereby earning the foreign exchange. Government reduces the tax rate or even exempt the products from the tax category that are exported. It imposes more and more tax rate on the import thereby disfavouing it.

f. Helps in Encouraging Savings & Investment A large category of the population invests their incomes on consumption due to which saving proportionate is very low leading to very

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f. Helps in Encouraging Savings & Investment: A large category of the population invests their incomes on consumption due to which saving proportionate is very low leading to very

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low or nil investment. The government can use its finance to promote saving and investment habits in people by reducing the tax rate and providing some relief on product and services prices.

g. Helps in Allocating Resources Properly & Efficiently

It helps the government in proper allocation and utilization of man-made and natural resources. In order to allocate resources properly, the government imposes more and more taxes on the less demandable goods and imposes a low rate of taxes and even provides subsidies on more desirable products and services.

h. Helps in Bringing Balanced Development in the Economy

It plays a very efficient role in helping the government in removing or erasing the gap between the rural and urban area, agricultural and industrial sector. The government basically allocates an efficient amount from the fund raised through different sources for the infrastructural development in rural areas and provides direct benefits to the rural areas.

Government Revenue and Expenditure

Government generates revenue from various sources to run its administration machinery and to provide the development projects in all sectors of the economy. Such revenues are generated by the revenue generation agencies and organizations through effective machinery, and allocated through the budgetary system to the spending organizations for their operations.

A good system of revenue generation is paramount to ensure that government mobilizes enough financial resources to meet its expenditure programs.

Meaning of Public Revenue

Public revenue could be defined as the funds required by the government to finance its activities. Such funds are generally obtained from various sources, such as taxes, borrowing, fees, fines, income from public undertakings, sales of government assets, rents, mining and royalties, etc. It may be useful, however, to make a distinction between public revenue and public receipts. While public receipts include all sources of income available to the government, public revenue is of much narrower pur and does not include borrowing, sale of government assets or income from "printing press" (printing of more money by the CBN).

Revenues accruing to an economy, such as Nigeria, can be divided into two main categories, namely *oil revenue* (which include petroleum profit tax, rent, royalties, and Nigerian National Petroleum Company earnings) and *non-oil revenue* include trade income, company income

tax, customs and excise duties, and independent revenue sources which consists of fees, licenses, rent on government property, among others).

For most of the 1960s, federally-collected revenue was largely revenue from non-oil sources, accounting for an average of 92 percent of the total receipts while revenue from the oil sources accounted for the balance. As can be deduced from the narration of the oil disposition from the 1970s to this day, the non-oil sector revenue accounted for the balance of about 20 to 30 percent receipts annually, to complement the oil sector receipts which form the mainstay of the sources receipts of Federal Republic of Nigeria.

Since the 1970s oil revenue became the dominant source of government revenue, contributing over 70 per cent of federally-collected revenue. For most of the 1960s, federally-collected revenue from oil sources accounted for an average of 8 percent of total receipts. The oil boom of the 1970s propelled the sector to become dominant, accounting for most of the foreign exchange earnings as well as federally-collected revenue. The contribution of the oil sector to total receipts increased from average of about 46 percent between 1970 and 1973 to about 77 percent between 1974 and 1980. Through-out the 1980s and 1990s, the contribution of the oil sector to total revenue maintained its dominant position and contributed between 70 and 76 percent of the federally-collected revenue.

Sources and Classification of Federal/State and Local Government Revenue

Sources of Federal/State Government Revenue

Sources of federal/state government revenue in Nigeria are as follows:

- (i) **Taxes:** These refer to the levy collected by the government mostly in the form of company income tax, petroleum profit tax, value-added tax, education tax (applies to companies), capital gains tax (individuals are under states while corporate bodies and Abuja residents under federal), stamp duties (instruments executed by individuals are states and corporate bodies under federal), withholding tax (individuals under states and companies under federal), personal income tax (residents of the state are under states while personnel of the armed forces, police, external affairs ministry, and residents of Abuja are under the federal), taxes on pool bets, lottery and casino wins, and customs and excise duties (i.e., import and export duties). According to the principles of public finance, tax revenue should be the main source of finance for the public sector. Citizens should be the main contributors of finance for the development of the Nation.

- (ii) **Non-Tax Revenue:** This is made up of all revenues, other than taxes, that are generated



by government to finance its expenditures. These include fines, fees and rates, licenses, earnings from sales, rent from government properties, interest payment and repayment of loans, re-imbursement, statutory grant and miscellaneous revenue.

- a) **Fines, Fees and Rates:** This include fines imposed on individual, school fees collected from students, water rate collected from consumers, etc.
- b) **Licenses:** These cover amount received for issuance of licenses of various types by the government, e.g. vehicle licenses, business premises and registration fees in urban and rural areas.
- c) **Earnings from Sales:** These cover money realized from the sale of government properties e.g. sale of government vehicles, houses, earnings from oil sales, etc.
- d) **Rent of Government Properties:** These include rent of government houses / quarters and land etc.
- e) **Interest Payment and Repayment of Loan:** These are interest payments by government employees and government companies, on loans granted by the government, e.g. payment of interest on motor vehicle loan and the repayment of the loan itself.
- f) **Re-imbursements:** These are refunds for services rendered to another tier of Government, public corporations and other statutory bodies by the Government.
- g) **Statutory Grant:** This is the share received from the Federation Account and value added tax.
- h) **Miscellaneous:** These are sources other than the sources mentioned above, e.g. dividend from investment, stamp duties, business premises and registration fees, streets name registration fees and fees for right of occupancy on urban land, mining, rents and royalties.

Sources of Local Government Revenue

These are other revenues that central government makes available to the local government or district assembly apart from the Common Fund. Examples of these revenues are:

- (i) **Statutory and Non-Statutory Allocation:** Revenue accruing to Local Governments from the Federal government can be categorized into two, namely statutory and non-statutory allocation. The latter takes the form of grants as may be deemed fit by the Federal Government to help pursue a policy which in the opinion of the Federal Government should be to the benefit of the country as a whole. Statutory allocation on the other hand is prescribed by law, specifying the basis for distribution of the revenue

amongst the three tiers of government, the formulae for distribution and modes of distribution.

(ii) **Grants-in-aid:** These are donations received from foreign governments through the central government.

(iii) **Transfers:** These are monies that the central government gives to meet other expenses and pensions of district assemblies' staff.

(iv) **Ceded Revenues:** These are sources of revenues which the federal government has given over to district assemblies by the virtue of Decree No. 21 of 1998. These include tenancy rates, shops and kiosk rates, fees for on-off liquor licenses, fees for butcher slabs, fees for marriage, birth and death registrations, fees for street name registration (except in the state capital), motor park fees, market taxes and levies (except in any market where state finance is involved), fees for domestic animal licenses, fees for bicycles, trucks, canoes, wheelbarrows, carts and canoes, fees for right of occupancy on land in rural areas (except those of federal and state governments) and cattle tax (applies to cattle farmers only). Others are entertainment and road closure levy, fees for radio and television licenses, vehicle parking and radio license fees, charges for wrongful parking, fees for public convenience, sewage and refuse disposal, customary ground permit fees, fees for permits for religious establishments and fees for permits for signboards, bill boards and advertisements.

Public Expenditure

Public expenditure refers to the expenses which Government incurs in the performance of its operations. With increasing State activities, it may be difficult to judge what portion of public expenditure can be ascribed to the maintenance of Government itself and what portion to the benefit of the society and the economy as a whole.

Types of Expenditures

Public expenditure may be classified on the following basis:

(i) **Nature of Expenditure Incurred:** Under this basis Government expenditure is broadly divided in to two (2) main categories, namely recurrent expenditure and capital expenditure:

(a) **Recurrent/revenue expenditures:** Recurrent expenditure is the type of expenditure that happens repeatedly on daily, weekly or even monthly basis. This

includes for example payment of pensions and salaries, administrative overheads, maintenance of official vehicles, payment of electricity and telephone bills, water rate and insurance premiums etc.

(b) **Capital or development expenditures:** Capital expenditure on the other hand refers to expenditure on capital projects. This includes construction of houses, roads, schools and hospitals, human capital development (expenditures on education and health), purchase of official vehicles, construction of boreholes and electrification projects, etc.

(ii) **Economic Purpose for Expenditure:** Under this basis we have three classes, namely:

(a) **Government consumption:** Government purchases of goods and services for current use.

(b) **Government Investment:** Purchases of goods intended to create future benefits e.g. infrastructure, education and research and development.

(c) **Transfer payments:** Transfers that do not involve purchase of any good or service, e.g. unemployment benefits, scholarships, social welfare support, interest on public debt, etc.

(i) **Unit of government involved:** *Under this basis we have:*

(a) Federal government and its MDAs

(b) State government and its MDAs

(c) Local government

(d) Separate Government bodies

(ii) **Basis of function at which expenditure is directed:**

a) justice and public order;

b) infrastructure (roads, railways, etc);

c) military;

d) Education;

e) health care;

f) support for the poor, the old, the disadvantaged;

g) support for firms, export and production in general;

h) special policy expenditure (e.g. foreign aid, fight against drugs, etc). -

(iii) **Kinds of goods and services purchased.** This gives rise to three sub-classifications:

a) capital goods;

b) consumption goods;

c) personnel expenditure.

(In national accounts, public expenditure does not include transfers among social groups, such as pensions, and interest payments of public debt).

Reasons for Increase in Government Expenditure

A number of factors have been identified as causing increasing in public expenditure in various countries

over time. Some of these are general, having relevance to all countries, while others are specific to certain

countries. These factors include the following:

(i) The traditional functions of government such as defense, maintenance of law and order, etc. are becoming extensive and cumbersome. Defense is becoming expensive more than ever. Within the country administrative set up is increasing both in coverage and intensity, that is, government machinery has to be manned by experts in their respective fields. In addition, various complexities of economic and social measures develop which make an efficient administration complex and expensive as well.

(ii) Besides the traditional functions of the state, there is growing awareness of additional responsibilities. The government is expanding its activities in the area of various welfare measures which include measures to enrich the cultural life of the society and those designed to provide social securities to the people such as pensions, old peoples' home etc.

(iii) The government is expanding its activities in the area of various welfare measures which include measures to enrich the cultural life of the society and those designed to provide social securities to the people such as pensions, old peoples' home etc.

(iv) Increasing population may also be a determinant of public expenditure growth. The share scale of various public goods and services has to rise in conformity with the growth of population. The need for more schools, hospitals and such likes cannot be over-emphasized in the light of increasing population.

(v) It has been suggested that urbanization and the resulting congestion has increased